

TASI TELECOMMUNICATION SERVICES SECTOR

1Q26 Financials Review

Stocks covered:

STC AB [Rated BUY]

EEC AB [Rated BUY]

ZAINKSA AB [Rated HOLD]



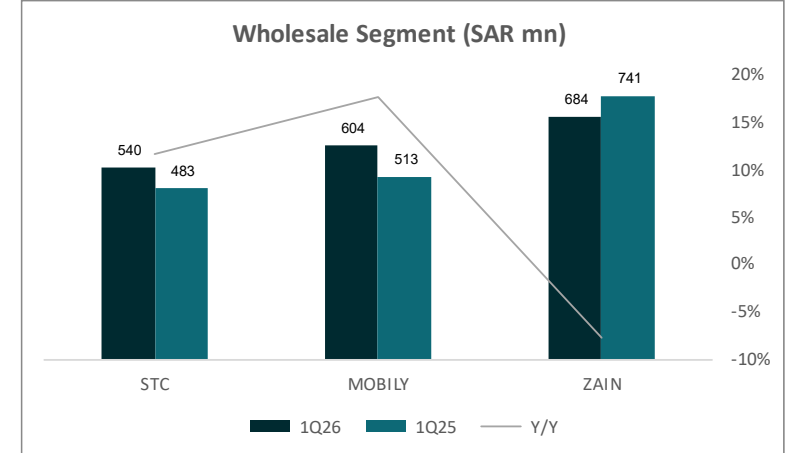
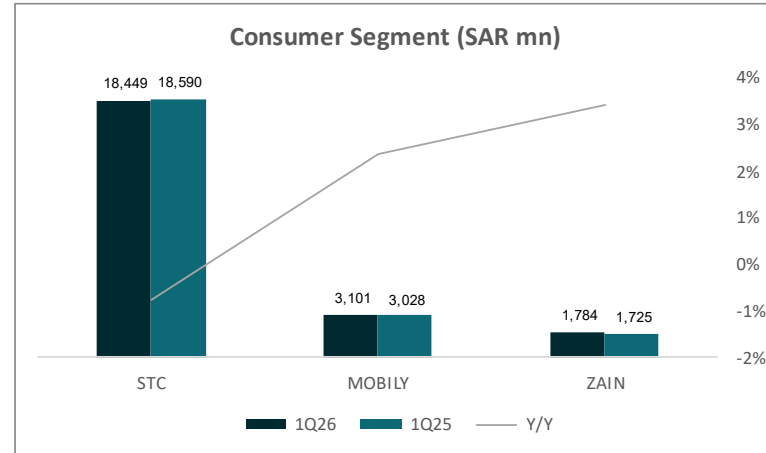
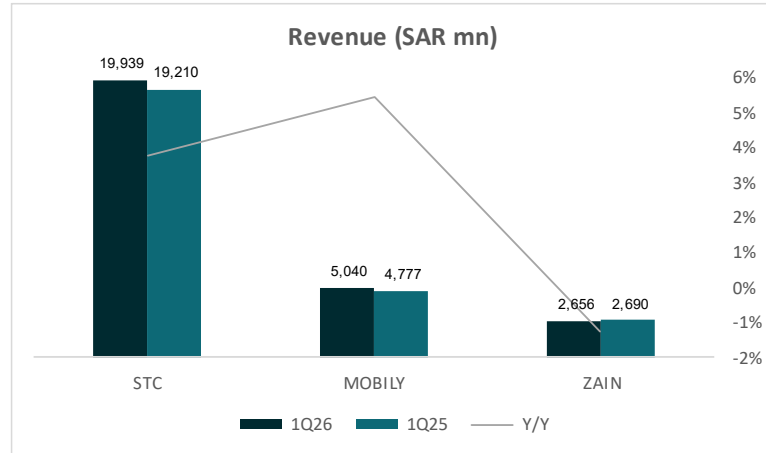
SECTOR AGGREGATE FINANCIALS

Sector financial performance improved as margin expansion and operating leverage outweighed traditional subscriber-led growth dynamics.

SAR mn	Quarterly					Rolling 4 quarters		
	1Q26	4Q25	1Q25	Q/Q	Y/Y	Mar-25	Mar-24	Y/Y
Total Revenue	27,635	27,969	26,677	-1.2%	3.6%	109,401	102,867	6.4%
Gross Profit	14,256	14,389	13,238	-0.9%	7.7%	56,033	53,128	5.5%
Opex	6,231	6,685	5,908	-6.8%	5.5%	35,740	34,129	4.7%
Operating profit	5,226	5,088	4,707	2.7%	11.0%	20,117	18,964	6.1%
Depreciation	4,105	3,896	4,001	5.4%	2.6%	16,076	14,851	8.2%
EBITDA	9,331	8,984	8,708	3.9%	7.1%	36,193	33,816	7.0%
Finance costs	(385)	(413)	(150)	-6.9%	155.8%	(1,423)	(597)	138.3%
Net Income	4,777	4,433	4,508	7.8%	6.0%	17,011	26,225	-35.1%
EPS	0.72	0.66	0.68	7.8%	6.0%	2.55	3.93	-35.1%
Gross margin	51.6%	51.4%	49.6%	14bps	197bps	51.2%	51.6%	(43bps)
Operating margin	18.9%	18.2%	17.6%	72bps	126bps	18.4%	18.4%	(5bps)
EBITDA margin	33.8%	32.1%	32.6%	164bps	112bps	33.1%	32.9%	21bps
Net margin	17.3%	15.8%	16.9%	144bps	39bps	15.5%	25.5%	(994bps)
Depreciation as a % of sales	14.9%	13.9%	15.0%	92bps	(14bps)	14.7%	14.4%	26bps
OPEX to Sales	22.5%	23.9%	22.1%	(135bps)	40bps	32.7%	33.2%	(51bps)

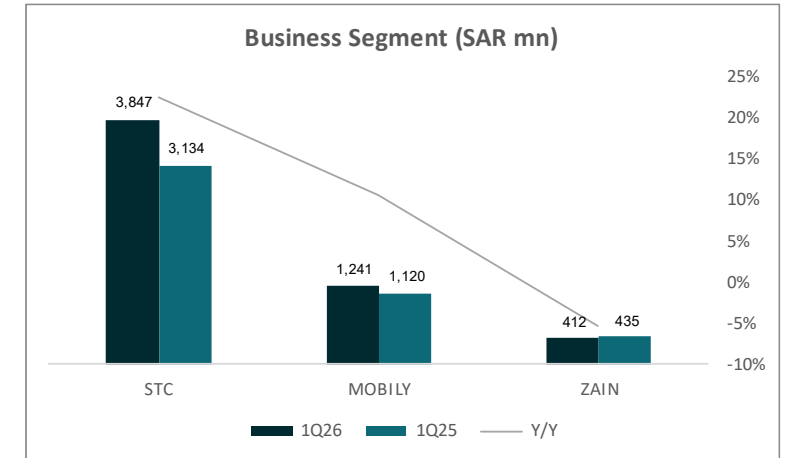
SECTOR REVENUE

Sector growth leadership is gradually shifting toward enterprise exposure, infrastructure scale and monetization breadth rather than subscriber expansion alone



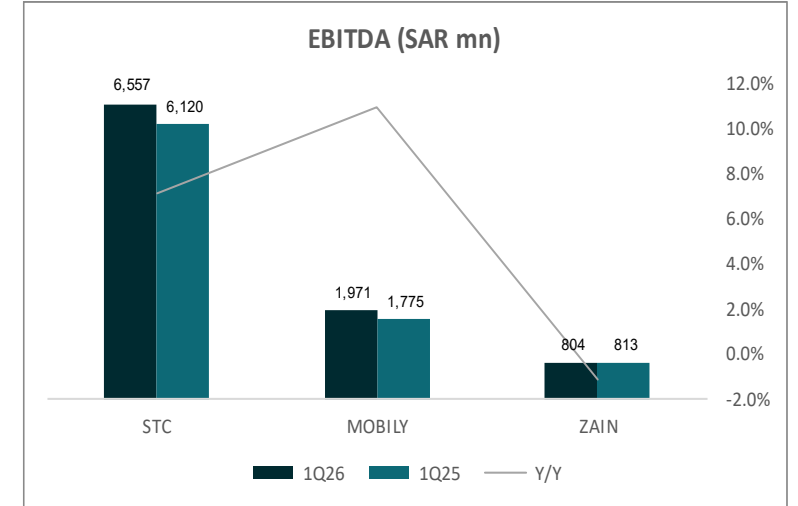
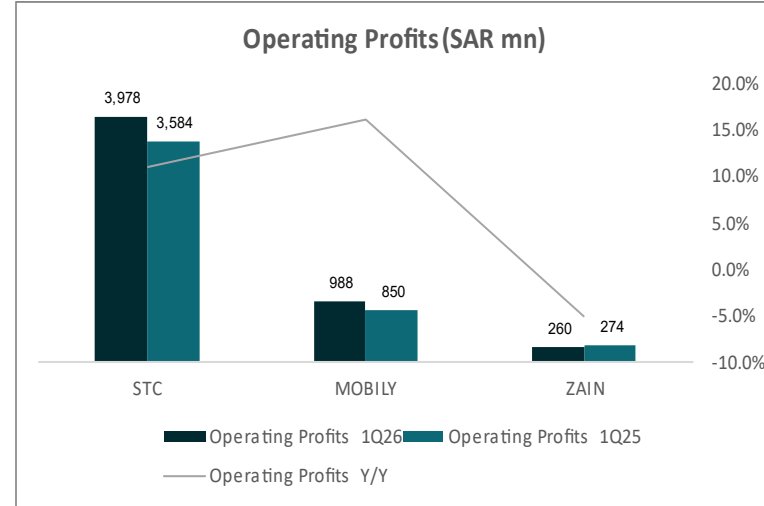
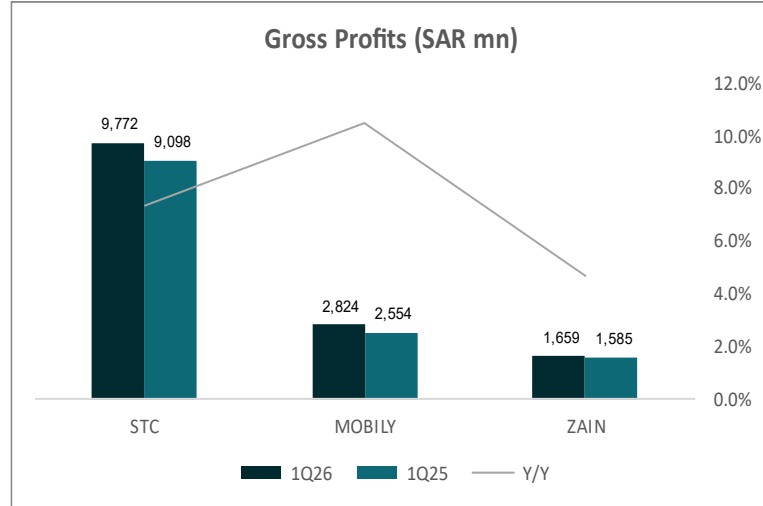
* Zain KSA Consumer Segment includes TAMAM and other revenues

- **Overall sector revenue increased 3.6% Y/Y**, driven by Business and Wholesale growth. Business and Wholesale revenues increased 17.3% and 5.2% Y/Y, respectively, while Consumer revenue remained broadly unchanged.
- **Sector revenue mix continued evolving**, with Business contribution increasing to ~19.9% of industry revenue in 1Q26 versus ~17.6% in 1Q25, reflecting increasing contribution from enterprise connectivity, ICT solutions and infrastructure-linked revenues. **Consumer revenue remained largely flat despite subscriber growth across operators**, indicating increasing market maturity where subscriber additions are translating into more limited revenue expansion. The divergence between subscriber growth and Consumer revenue performance suggests incremental growth opportunities are gradually shifting beyond traditional connectivity services.
- **Wholesale growth remained concentrated among STC and Mobily**, with revenues increasing 12% and 18% Y/Y, respectively, while ZAIN's 8% decline highlights widening differences in enterprise execution and infrastructure monetization. ZAIN continued facing pressure across Business and Wholesale segments, with revenues declining 5% and 8% Y/Y, reflecting softer enterprise activity and execution-related headwinds during the quarter
- Segment performance during the quarter suggests growth leadership is increasingly influenced by enterprise exposure, infrastructure scale and monetization breadth rather than subscriber expansion alone.



SECTOR OPERATING PROFITABILITY AND MARGINS

Margin expansion accelerated across the sector as favorable mix shifts and operating leverage supported stronger earnings conversion

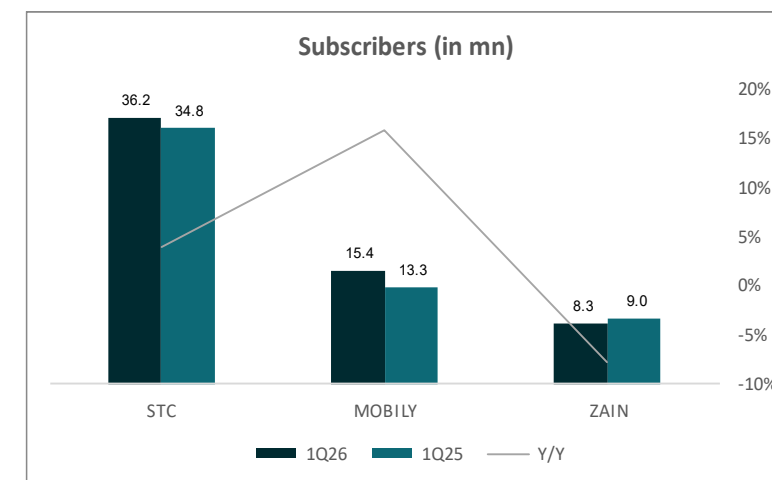
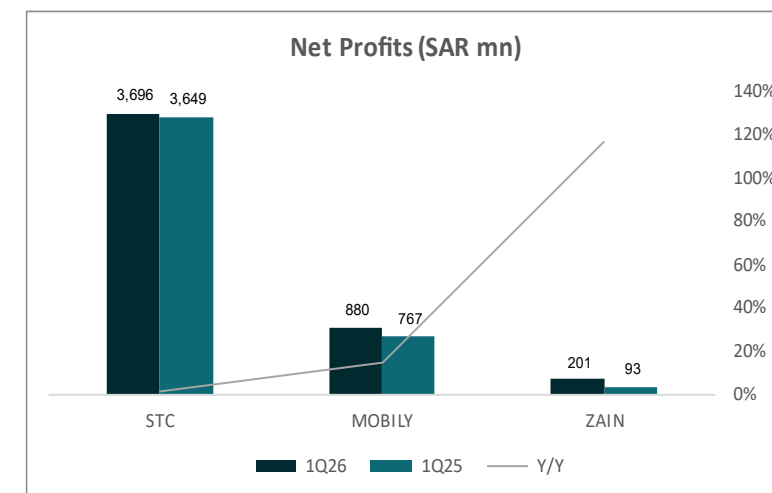


- **Sector gross profit growth outpaced revenue expansion** during the quarter, with total gross margin expanding 197bps Y/Y, indicating a favorable mix shift and improving earnings conversion across the industry. Gross profit performance was primarily supported by STC and Mobily, where gross profit increased 7.4% and 10.6% Y/Y, respectively, suggesting **stronger monetization across higher-margin Business and Wholesale activities**. Gross margin expansion across the sector suggests operators are increasingly extracting greater value from existing network and infrastructure assets, with revenue mix becoming a more important profitability driver than subscriber growth alone.
- Sector operating profit growth followed the same trend as sector gross profits during the period, indicating improving operating leverage and stronger earnings conversion across the industry. Sector operating margin expanded 126bps Y/Y and 72bps Q/Q to 18.9%, while OPEX-to-sales remained broadly stable at 22.5% (+40bps Y/Y, -135bps Q/Q). STC and Mobily remained the primary contributors to operating profit performance, with operating profit increasing 11.0% and 16.2% Y/Y, respectively, while ZAIN's 5.1% decline reflects widening divergence in profitability trends and execution across operators.
- EBITDA trends remained supportive during the quarter, with sector EBITDA margin expanding 112bps Y/Y and 164bps Q/Q to 33.8%, reflecting favorable revenue mix and continued operating leverage across the industry. Mobily delivered the strongest profitability profile, with EBITDA margin reaching 39%, exceeding management guidance on lower contribution from lower-margin device sales and favorable mix trends, while STC remained a key contributor to profitability improvement, with EBITDA margin at 32.9% (+102bps Y/Y, +287bps Q/Q), reflecting stronger earnings conversion and benefits from cost optimization initiatives. ZAIN KSA meanwhile faced pressure from network expansion costs and slower seasonal collections, highlighting the differing impact of investment intensity and working capital dynamics on near-term earnings.
- Depreciation-to-sales stood at 14.9%, increasing 14bps Y/Y but improving 92bps Q/Q, suggesting the gap between EBITDA and operating profit remained relatively contained despite ongoing infrastructure investments.

BOTTOMLINE PROFITABILITY AND SUBSCRIBER BASE

The quarter reinforced a gradual shift from subscriber-led growth toward monetization depth, profitability quality and ecosystem execution

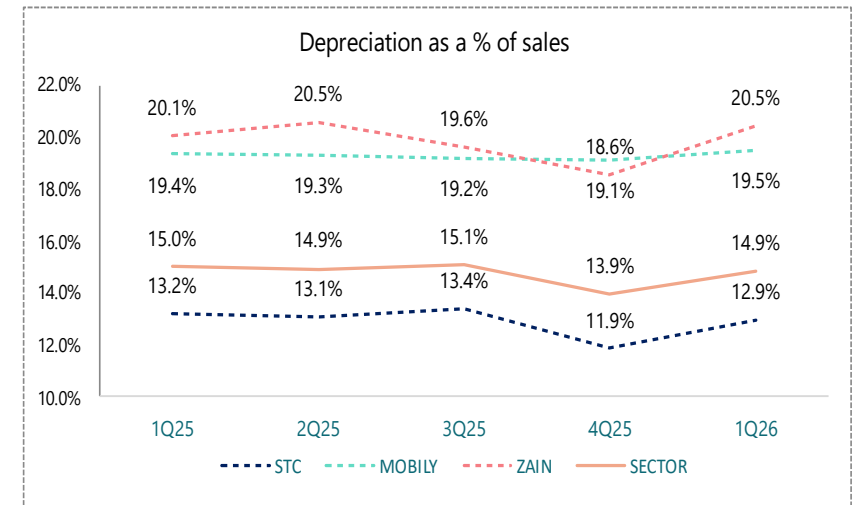
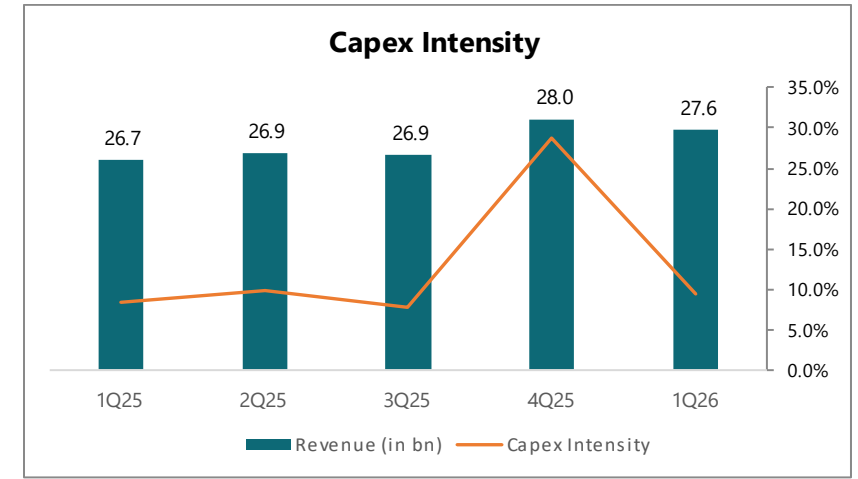
- **Sector net profit increased 6.0% Y/Y during 1Q26 with net margins at 17.3% (+39bps Y/Y, +144bps Q/Q);** however, earnings growth lagged improvements across gross profit, operating profit and EBITDA, indicating below-the-line items continued exerting greater influence on reported profitability. The quarter also highlighted increasing divergence between reported and underlying earnings trends across operators.
- STC and Mobily demonstrated stronger underlying earnings resilience despite materially different reported outcomes. STC's modest 1% Y/Y net profit growth reflected normalization of prior-period tax benefits and lower finance income despite stronger operating momentum, while Mobily delivered 15% Y/Y growth supported by EBITDA expansion and operating leverage. In contrast, ZAIN's reported 116% Y/Y earnings growth was primarily supported by one-off USF income recognition and financing cost savings, highlighting continued divergence between reported and recurring profitability.
- **Sector subscribers increased 4.9% Y/Y to 59.9mn in 1Q26,** supported by continued network expansion, visitor inflows and mobile and fixed service adoption. Subscriber trends suggest the KSA telecom market continues expanding despite increasing maturity across traditional consumer segments, with growth becoming progressively linked to network quality and customer mix rather than broad-based market expansion.
- Subscriber growth remained uneven across operators, with Mobily delivering the strongest expansion at 16% Y/Y, while STC increased 4% Y/Y and ZAIN declined 8% Y/Y. The widening dispersion indicates market share gains are becoming increasingly driven by network quality, customer acquisition effectiveness and service differentiation.
- Sector trends increasingly indicate that subscriber scale alone is becoming a less meaningful performance indicator. ZAIN's subscriber decline was accompanied by stronger network utilization trends, with attached data subscribers increasing 7% Y/Y and 5G subscribers increasing over 33% Y/Y, while over 66% of total traffic now runs through the 5G network versus 56% in 1Q25. This suggests value creation is gradually shifting toward subscriber quality, data intensity and monetization depth rather than absolute customer additions.



SECTOR CAPITAL INTENSITY AND NETWORK INVESTMENT CYCLES

Capex intensity normalized as operators increasingly balanced infrastructure expansion with disciplined capital deployment and stable earnings conversion

- Sector revenue remained broadly stable over the last five quarters, increasing from SAR 26.7bn in 1Q25 to SAR 27.9bn in 1Q26, indicating sector growth remained resilient despite variability in investment cycles. Capex intensity moderated sharply to 9.4% from 28.7% in 4Q25. The normalization suggests elevated spending during the prior quarter was likely timing related (seasonal) rather than indicative of a structurally higher investment cycle.
- The moderation in capex intensity despite continued network and digital infrastructure investments suggests recent growth has not required proportional increases in capital deployment. The trend also indicates improving investment discipline as operators balance network expansion with profitability objectives.
- Investment patterns remained differentiated across operators, reflecting varying deployment cycles and strategic priorities. STC maintained relatively stable capex intensity at 8.5%, indicating a measured investment profile despite continued infrastructure expansion, while Mobily operated with higher capex intensity at 14.6%, reflecting ongoing investment across fiber and enterprise-related infrastructure.
- The divergence in capex profiles across operators increasingly suggests infrastructure scale and network maturity are becoming important determinants of investment efficiency and capital allocation flexibility. The divergence in capex profiles across operators suggests network maturity and investment cycles continue influencing capital requirements and earnings visibility.
- Sector depreciation intensity remained broadly stable during the quarter, with depreciation-to-sales at 14.9% in 1Q26 versus 15.0% in 1Q25, suggesting continued infrastructure investments have remained broadly proportional to revenue growth.
- Depreciation profiles remained differentiated across operators, likely reflecting differences in investment cycles and network asset structures. STC maintained the lowest depreciation burden at 12.9% of sales, while Mobily remained broadly stable at 19.5%. ZAIN continued reporting the highest depreciation intensity at 20.5% a jump from 18.6% in 4Q25 and 20.1% in 1Q25, suggesting network investment charges continue exerting a greater impact on operating profitability relative to peers.



TASI

Saudi Telecom Co. (STC)

1Q26 Financials Review

Bloomberg	STC AB
Rating	BUY
Market Price	44.0
12-month Target Price	49
Upside / Downside	16.3%
Mkt Cap (SAR mn)	220,200
52 week High/Low	45.38/40.20

31 May 2026



Saudi Telecom Company (BUY, TP: SAR 49.00, 7010.SE) 1Q26 Results Review

STC strengthens earnings quality through operating leverage, ecosystem expansion and infrastructure scale, reinforcing diversified growth visibility beyond core telecom services. Maintain Buy.

Saudi Telecom Company (STC) reported net profit of SAR 3.7bn (EPS: SAR 0.74) in 1Q26, increasing 1% Y/Y, supported by 4% growth in revenues driven by a 5% rise in Commercial revenues and a 6% increase in Carrier & Wholesale revenues. Gross profit and operating profit increased 7% Y/Y and 11% Y/Y, respectively, reflecting continued operating leverage and margin expansion. The board declared a quarterly dividend of SAR 0.55/share, in line with its annual dividend guidance of SAR 2.20/share.

- Revenue increased 4% Y/Y to SAR 19.9bn in 1Q26, supported by growth in the Commercial (+5% Y/Y) and Carrier & Wholesale (+6% Y/Y) segments, while subsidiary revenues increased 6% Y/Y. Sequentially, revenue remained broadly stable despite 13% growth in Business segment revenues. STC KSA's mobile subscriber base increased 5.3% Y/Y to 30.6mn, while fixed subscribers rose 3.1% Y/Y to 6.1mn by end-1Q26.
- Gross profit rose 7% Y/Y, partially offset by 1% increase in cost of revenue, while it remained flat on Q/Q basis. Gross margin expanded 165bps Y/Y but fell 20bps Q/Q to 49.0%. Operating profit increased 11% Y/Y and 10% Q/Q, supported by operating leverage and improved cost efficiency, despite a 5% increase in operating expenses Y/Y. Operating margin expanded 130bps Y/Y and 183bps Q/Q to 20.0%.
- EBITDA grew 7% Y/Y and 10% Q/Q, with EBITDA margin at 32.9% (+102bps Y/Y; +287bps Q/Q). Net profit advanced 1% Y/Y and 14% Q/Q, with net margin at 18.5% (-46bps Y/Y; +221bps Q/Q). The Y/Y net profit growth reflects decrease in total other expenses by SAR 120mn due to booking of net other gains, increase in net share in results of investments in associates and joint ventures, decrease in net other expenses
- stc Bank continued scaling rapidly, with revenue increasing 24% Y/Y to SAR 397mn, supported by expansion in products and services. Gross profit rose 91% Y/Y to SAR 205mn, while the customer base surpassed 8mn since its launch in January 2025.
- STC operating profit rose 11% Y/Y in 1Q26, supported by revenue growth of 4% Y/Y, margin expansion and continued cost efficiency initiatives, highlighting improving earnings quality and stronger operating leverage. Revenue growth was driven by Commercial and Carrier & Wholesale segments, while subsidiary revenues increased 6% Y/Y, reflecting broader diversification across the group. Net profit also increased 12% Y/Y excluding non-recurring items, reinforcing the underlying strength of operating performance. The quarter further reinforced a structural shift within the KSA telecom sector, where growth is gradually moving beyond traditional connectivity services toward digital infrastructure, enterprise solutions and ecosystem monetization. As core telecom markets mature, operators with infrastructure scale and diversified monetization channels are expected to capture a larger share of industry value creation. Against this backdrop, STC continues expanding beyond its traditional telecom business, with growth increasingly supported by digital platforms, infrastructure assets and adjacent services. The company continues leveraging its connectivity franchise to deepen customer engagement and expand monetization across its digital ecosystem, reducing dependence on mature telecom revenue streams and broadening its long-term growth avenues. Subscriber momentum remained healthy, with mobile subscribers rising 5.3% Y/Y and fixed subscribers increasing 5.4% Y/Y, with growth across prepaid, postpaid and M2M categories indicating healthy demand across multiple customer segments. More importantly, the expanding subscriber base continues strengthening the company's ability to monetize adjacent services and increase platform utilization across its digital ecosystem. STC Bank surpassed 8mn customers, Qitaf users increased to 20.6mn and STC TV subscribers rose to 6.36mn from 5.25mn Y/Y, supporting cross-selling opportunities and enhancing customer lifetime value across the entire ecosystem. Network scale continued expanding, with 5G coverage increasing to 63.3% from 55.4% Y/Y, reinforcing STC's infrastructure advantage and supporting future monetization opportunities as data consumption and digital adoption continue rising. Growth visibility was further supported by strategic expansion initiatives and technology investments. The SAR 3bn Silklink telecommunications infrastructure project in Syria is expected to expand the group's regional footprint and could create longer-term opportunities across connectivity, wholesale and data services. Separately, the launch of phase two of New Calling with AI-enabled real-time translation reflects continued investment in differentiated digital capabilities and supports the company's broader technology-led ecosystem strategy. Financial discipline remained intact despite continued investment across infrastructure and growth initiatives. Capex intensity remained controlled at 8.5%, indicating a measured approach toward network investments while preserving balance sheet flexibility. Balance sheet metrics remained healthy, with Net Debt/EBITDA maintained at 1.1x and interest coverage at 12.0x, supporting balance sheet strength and investment capacity. The recent USD 2bn sukuk issuance further enhances funding flexibility. Although STC trades at a premium to peers at 14.72x P/E versus the peer average of 12.28x and 2.59x P/B versus 2.19x, we believe the premium remains justified given stronger earnings visibility, diversified growth drivers, infrastructure leadership and greater ecosystem scale relative to regional peers. We maintain our BUY rating on STC.

Rating and Risks

We are BUY rated on STC, and our 12-month price target is SAR 49. Upside risks include stronger than expected subscriber growth and ecosystem monetization, faster scaling of digital platforms including, and improved operating leverage from cost efficiencies, and another extraordinary dividend. Downside risks include execution and utilization risk in large-scale data center investments, higher than expected capex intensity, elevated receivables impairment, and competitive pricing pressure impacting margins.

SAR mln	1Q26	4Q25	1Q25	Q/Q %	Y/Y %
Revenues	19,939	19,894	19,210	0%	4%
Cost of Goods	10,166	10,103	10,111	1%	1%
Gross Profit	9,772	9,791	9,098	0%	7%
Operating Expenses	5,794	6,187	5,515	-6%	5%
Operating Profit	3,978	3,605	3,584	10%	11%
EBITDA	6,557	5,972	6,120	10%	7%
Net Income	3,696	3,249	3,649	14%	1%
EPS	0.74	0.65	0.73	14%	1%

Margins (%)

Gross Margin	49.0	49.2	47.4	-20 bps	165 bps
Operating Margin	20.0	18.1	18.7	183 bps	130 bps
EBITDA Margin	32.9	30.0	31.9	287 bps	102 bps
Net Margin	18.5	16.3	19.0	221 bps	-46 bps

Rating Summary and Forecasts

Rating Summary

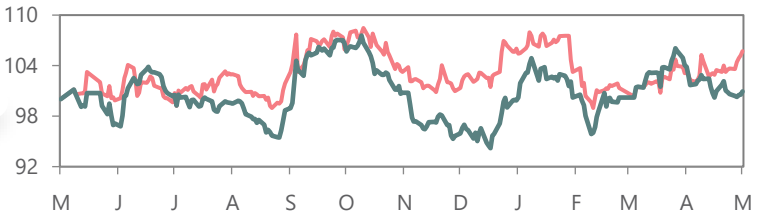
Rating	Buy
Market Price	44.0
12-month Target Price	49
Upside / Downside	16%
Mkt Cap (SAR mn)	220,200.0
52 week High/Low	45.38/40.20

Forecasts

	12/25 A	12/26 E	12/27 E	12/28 E
Net Income (SAR mn)	14,828	15,493	16,263	17,023
PER (x)	14.9	14.2	13.5	12.9
PBV (x)	2.6	2.5	2.3	2.2
EPS (SAR)	3.0	3.1	3.3	3.4
DPS (SAR)	2.2	2.2	2.2	2.2
RoE (%)	17.8%	17.6%	17.3%	17.0%
Dividend Yield (%)	5.0%	5.0%	5.0%	5.0%

Price Chart

● STC ● ASI



Summary Financials

SAR mn	A Dec-24	A Dec-25	A Dec-26	A Dec-27	A Dec-28
	Actual	Actual	Forecast	Forecast	Forecast

Income Statement

Total Revenue	75,893	77,819	81,279	83,518	86,288
Cost of goods sold	38,567	40,119	41,723	42,765	44,036
Gross Profit	37,326	37,700	39,556	40,753	42,252
Operating expenses	22,900	23,261	24,173	24,996	26,132
Operating profit	14,426	14,438	15,382	15,757	16,119
EBITDA	23,951	24,469	26,656	27,665	28,902
Net finance costs	484	151	(201)	(164)	(127)
Profit after tax	24,689	14,828	15,493	15,918	16,329
EPS	4.94	2.97	3.10	3.18	3.27
DPS	2.20	2.20	2.20	2.20	2.20

Balance Sheet

Fixed Assets	41,514	43,286	47,848	53,095	56,651
Total Current Assets	72,745	58,016	45,917	42,660	42,304
Total Assets	160,638	157,477	149,653	152,026	155,099
Total Current Liabilities	38,956	40,173	33,164	33,311	33,812
Long term Loans	16,311	16,119	13,063	12,676	12,279
Net Debt	4,069	2,888	(824)	(7,943)	4,069
Total Non-Current Liabilities	30,918	27,862	27,475	27,078	30,918
Total Liabilities	71,090	66,125	66,010	66,224	71,090
Total Equity	83,414	88,214	93,783	100,113	83,414
Total Equity and Liabilities	157,477	157,312	162,766	169,310	157,477

SAR mn	A Dec-24	A Dec-25	A Dec-26	A Dec-27	A Dec-28
	Actual	Actual	Forecast	Forecast	Forecast

Cashflows

Operating cashflows	19,885	18,283	23,379	27,847	29,880
Total Capex	(11,927)	(11,795)	(15,075)	(13,692)	(12,366)
Free cashflow to firm	5,550	5,520	9,804	15,651	19,004
Cashflow to equity holders	25,254	20,568	23,871	29,234	32,105
Cash flow from financing activities	(10,495)	(23,001)	(11,701)	(11,695)	(11,689)
Increase in cash and equivalents	2,211	(2,171)	(2,685)	3,212	6,619

Ratios

Gross Margin	49.2%	48.4%	48.7%	48.8%	49.0%
Operating Margin	19.0%	18.6%	18.9%	19.3%	19.5%
EBITDA Margin	31.6%	31.4%	32.8%	33.1%	33.5%
Net Margin	32.5%	19.1%	19.1%	19.5%	19.7%
Capex/Sales	15.7%	15.2%	16.1%	14.0%	12.0%
Depreciation/sales	13.6%	12.9%	13.9%	13.9%	14.0%
Return on Equity	17.8%	17.6%	17.3%	17.0%	17.8%
Return on Asset	9.5%	9.8%	10.0%	10.1%	9.5%

TASI

Etihad Etisalat Co. (MOBILY)

1Q26 Financials Review

Bloomberg	EEC AB
Rating	BUY
Market Price	63.6
12-month Target Price	76
Upside / Downside	19.5%
Mkt Cap (SAR mn)	48,972
52 week High/Low	71.60/54.60



Etihad Etisalat Co. (BUY, TP: SAR 76.0, 7020.SE) 1Q26 Results Review

Subscriber growth and Enterprise execution reinforce Mobily's transition toward a higher-quality, diversified digital infrastructure business, with Enterprise scaling and infrastructure investments supporting future earnings visibility. Maintain Buy.

Etihad Etisalat Company (Mobily) reported 1Q26 net profit growth of 15% Y/Y to SAR 880mn (EPS SAR 1.15) as compared to SAR 953mn (EPS SAR 1.00), driven by EBITDA expansion and improved operational efficiency. Revenue increased 6% Y/Y, with gross profit rising 11% Y/Y on the back of growth across all segments. EBITDA grew 11% Y/Y, while EBIT increased 16% Y/Y, reflecting improving operating performance.

- Revenue increased 5% Y/Y to SAR 5.0bn in 1Q26, driven by broad-based growth across all segments. Revenue declined 3% Q/Q, primarily due to seasonal weakness in Consumer device sales. Mobile subscribers increased 16% Y/Y and 5% Q/Q to 15.1mn, supported by prepaid growth (+18% Y/Y), while FTTH subscribers rose 7% Y/Y and 2% Q/Q to 311k.
- Gross profit increased 11% Y/Y to SAR 2.8bn, benefiting from favorable revenue mix as COGS remained broadly flat. Sequentially, gross profit declined 2% despite a 4% reduction in COGS due to lower revenues. Gross margin expanded 257bps Y/Y and 62bps Q/Q to 56.0%.
- Operating profit increased 16% Y/Y to SAR 1.8bn despite an 8% increase in operating expenses, supported by operating leverage. Sequentially, operating profit declined 7% due to lower EBITDA and higher operating costs. Operating margin expanded 181bps Y/Y but declined 98bps Q/Q to 19.6%.
- EBITDA increased 11% Y/Y to SAR 2.0bn, supported by higher gross profitability and operational efficiencies, while declining 4% Q/Q on lower revenues. EBITDA margin expanded 196bps Y/Y but contracted 63bps Q/Q to 39.1%.
- Net profit increased 15% Y/Y despite higher net other expenses, which increased to SAR 83mn versus SAR 63mn in 1Q25, primarily due to lower contribution from joint ventures and reduced financing income. Zakat and income tax expenses also increased 21% Y/Y during the quarter. Sequentially, net profit declined 8% Q/Q despite lower net other expenses of SAR 83mn compared to SAR 94mn in 4Q25, supported by improved JV profitability and lower financing costs. Net margin expanded 141bps Y/Y but contracted 93bps Q/Q to 17.5%, primarily reflecting softer sequential profitability trends.
- Etihad Etisalat Co. (Mobily) delivered a strong start to 1Q26, with net profit rising ~15% Y/Y supported by 5.5% revenue growth and EBITDA margin expansion to 39%, reflecting continued operating leverage despite seasonal softness in device sales and Ramadan-related spending shifts. More importantly, the quarter reinforces our view that Mobily is gradually evolving beyond a traditional telecom operator toward a broader digital infrastructure and ICT platform, supported by continued expansion across enterprise solutions, fiber, cloud, cybersecurity, data centers, wholesale connectivity, and adjacent digital services. This transition becomes increasingly important as the KSA telecom market remains competitive and relatively mature on the consumer side, making medium-term growth increasingly linked to enterprise digitalization and infrastructure monetization alongside traditional connectivity services. Mobily continues to strengthen its positioning through sustained network investments and improving network quality, supporting customer acquisition and subscriber growth across both mobile and fixed segments. Operational indicators remained supportive, with mobile subscribers increasing 16% Y/Y driven by prepaid additions and visitor inflows, while FTTH subscribers increased 7% as fiber rollout continued. While consumer revenue growth moderated sequentially due to device seasonality, management indicated that underlying service revenue trends remained resilient. We continue to view the enterprise segment as the key structural growth driver, with B2B revenues increasing 10.7% Y/Y supported by public-sector project execution, government digitization initiatives, and increasing demand for cloud, cybersecurity, connectivity, and data center solutions. Exposure to giga projects, SME digitalization initiatives, and partnerships with hyperscalers should further strengthen Mobily's positioning while supporting diversification beyond traditional telecom revenues. Management also highlighted increasing deployment of AI across infrastructure optimization, cost efficiency, and enterprise offerings, which alongside continued investment into 5G, FTTH, and digital infrastructure could support operating leverage and strengthen long-term monetization opportunities. Financially, management reiterated FY26 guidance for mid- to high-single digit revenue growth, EBITDA margins of 37-38%, net debt/EBITDA of 0.9x-1.0x, and CapEx intensity of 18-20%, with 1Q26 profitability metrics exceeding guidance while leverage remained within the guided range. At 13.7x P/E, Mobily trades at a ~11% premium to the industry average of 12.3x, which we believe is justified by improving revenue quality, expanding exposure to higher-growth enterprise and digital infrastructure businesses, healthy subscriber momentum, and strengthening earnings visibility relative to traditional telecom operators. Maintain BUY.

Rating and Risks

We are BUY rated on Mobily and our 12-month price target is SAR 76. Upside risks include stronger-than-expected enterprise & digital infrastructure growth, improved monetization across adjacent services, and better operating leverage from cost optimization initiatives, etc. Downside risks include elevated infrastructure capex potentially weighing on near-term free cash flow, competitive pressures in the consumer segment impacting ARPU dynamics, delays in enterprise project execution, and execution risks associated with scaling enterprise and digital infrastructure initiatives, etc.

SAR mln	1Q26	4Q25	1Q25	Q/Q %	Y/Y %
Revenues	5,040	5,186	4,777	-3%	5%
Cost of Goods	2,216	2,312	2,223	-4%	0%
Gross Profit	2,824	2,874	2,554	-2%	11%
Operating Expenses	1,836	1,806	1,704	2%	8%
Operating Profit	988	1,068	850	-7%	16%
EBITDA	1,971	2,060	1,775	-4%	11%
Net Income	880	953	767	-8%	15%
EPS	1.14	1.24	1.00	-8%	15%

Margins (%)

Gross Margin	56.0	55.4	53.5	62 bps	257 bps
Operating Margin	19.6	20.6	17.8	-98 bps	181 bps
EBITDA Margin	39.1	39.7	37.1	-63 bps	196 bps
Net Margin	17.5	18.4	16.0	-93 bps	141 bps

Rating Summary and Forecasts

Rating Summary

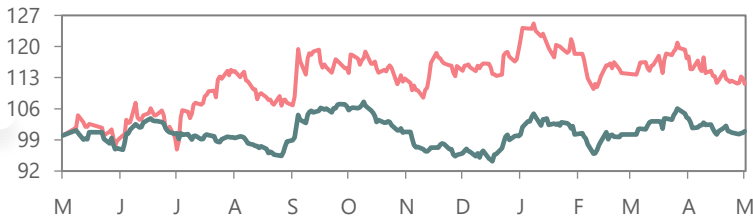
Rating	Buy
Market Price	63.6
12-month Target Price	76
Upside / Downside	19%
Mkt Cap (SAR mn)	48,972.0
52-week High/Low	71.60/54.60

Forecasts

	12/25 A	12/26 E	12/27 E	12/28 E
Net Income (SAR mn)	3,466	3,750	4,202	4,478
PER (x)	14.1	13.1	11.7	10.9
PBV (SAR)	2.4	2.2	2.1	2.0
EPS (SAR)	4.5	4.9	5.5	5.8
DPS (SAR)	2.8	3.1	3.5	3.7
RoE	17.1%	17.2%	18.0%	17.9%
Dividend Yield	4.4%	4.8%	5.5%	5.9%

Price Chart

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Summary Financials

SAR mn	A Dec-24	A Dec-25	A Dec-26	A Dec-27	A Dec-28
	Actual	Actual	Forecast	Forecast	Forecast

Income Statement

Total Revenue	18,206	19,642	20,979	22,230	23,279
Cost of goods sold	1,677	2,191	7,225	1,763	1,619
Gross Profit	9,894	10,742	11,478	12,226	12,919
Operating expenses	2,056	2,482	8,128	1,868	2,766
Operating profit	3,530	3,847	4,138	4,515	4,914
EBITDA	7,195	7,627	8,020	8,339	8,802
Net finance costs	64	89	269	68	58
Profit after tax	3,107	3,466	3,750	4,202	4,684
EPS	4.03	4.50	4.87	5.46	6.08
DPS	2.20	2.80	3.08	3.50	3.91

Balance Sheet

Fixed Assets	18,851	20,245	20,497	21,031	21,752
Total Current Assets	9,627	10,428	13,055	15,413	17,267
Total Assets	38,646	42,455	45,858	49,314	52,434
Total Current Liabilities	10,542	11,239	12,219	13,299	13,947
Long term Loans	5,725	5,196	6,079	7,021	7,963
Net Debt	4,785	2,563	2,420	2,252	2,572
Total Non-Current Liabilities	9,228	10,889	9,772	10,714	11,656
Total Liabilities	19,770	22,128	21,991	24,012	25,602
Total Equity	18,875	20,328	21,867	23,372	24,975
Total Equity and Liabilities	38,646	42,455	43,858	47,384	50,577

SAR mn	A Dec-24	A Dec-25	A Dec-26	A Dec-27	A Dec-28
	Actual	Actual	Forecast	Forecast	Forecast

Cashflows

Operating cashflows	6,337	6,655	7,136	8,323	8,370
Total Capex	(2,588)	(3,006)	(3,608)	(3,868)	(4,097)
Free cashflow to firm	3,521	3,086	2,617	3,567	3,346
Cashflow to equity holders	11,192	10,033	8,854	10,724	11,484
Cash flow from financing activities	(4,622)	(3,404)	(3,220)	(2,292)	(2,595)
Increase in cash and equivalents	(242)	1,762	745	2,110	1,622

Ratios

Gross Margin	54.3%	54.7%	54.7%	55.0%	55.5%
Operating Margin	19.4%	19.6%	19.7%	20.3%	21.1%
EBITDA Margin	39.5%	38.8%	38.2%	37.5%	37.8%
Net Margin	17.1%	17.6%	17.9%	18.9%	19.2%
Capex/Sales	14.2%	15.3%	17.2%	17.4%	17.6%
Depreciation/sales	20.1%	19.2%	16.0%	15.0%	14.5%
Return on Equity	16.5%	17.1%	17.2%	18.0%	17.9%
Return on Asset	8.0%	8.2%	8.6%	8.9%	8.9%

TASI

Mobile Telecommunication Company Saudi Arabia (ZAIN KSA)

1Q26 Financials Review

Bloomberg	ZAINKSA AB
Rating	HOLD
Market Price	10.9
12-month Target Price	12
Upside / Downside	12.2%
Mkt Cap (SAR mn)	9,760
52 week High/Low	12.10/10.02



Mobile Telecommunication Co. (HOLD, TP: SAR 12, 7030.SE) 1Q26 Results Review

Resilient core operating trends and improving 5G monetization continue supporting underlying fundamentals, although elevated investment intensity and execution requirements remain key balancing factors. Maintain Hold.

Mobile Telecommunication Company Saudi Arabia (ZAIN)'s reported net profit rose 116% Y/Y to SAR 201mn (EPS: SAR 0.22) in 1Q26, primarily supported by one-off income. Gross profit rose 5% Y/Y, driven by an improved revenue mix toward higher-margin segments and lower device-related costs, partially offset by higher Expected Credit Loss (ECL) provisions and increased operating expenses.

- Revenue declined 1% Y/Y and 8% Q/Q to SAR 2.7bn in 1Q26, primarily due to weaker handset sales during the quarter, partially offset by continued strength in the consumer segment. Cost of goods sold during the period declined 10% Y/Y and 14% Q/Q.
- Gross profit advanced 5% Y/Y despite a 4% Q/Q decline. Gross margin expanded 354bps Y/Y and 279bps Q/Q to 62.5%, driven by lower device-related costs and an improved revenue mix toward higher-margin segments.
- Operating profit declined 5% Y/Y and 37% Q/Q as operating expenses increased 7% both Y/Y and Q/Q, largely reflecting higher network expansion and maintenance costs. Consequently, operating margin contracted 40bps Y/Y and 460bps Q/Q to 9.8%. EBITDA declined 1% Y/Y and 16% Q/Q to SAR 804mn, with EBITDA margin reaching 30.3% (+1bp Y/Y, -269bps Q/Q).
- Net profit increased 116% Y/Y but declined 13% Q/Q to SAR 201mn, with net margin reaching 7.6% (+411bps Y/Y, -44bps Q/Q). Earnings were supported by non-recurring items, including SAR 98mn in income related to the Universal Service Fund (USF). Additionally, net finance costs declined 17% Y/Y and 11% Q/Q, benefiting overall profitability.
- ZAIN delivered a steady start to 1Q26, with reported net profit increasing to SAR 201mn supported by USF income recognition and financing cost savings, while underlying performance reflected softer device sales following prior-quarter pull forward effects, enterprise softness and elevated network-related costs. Revenue declined 1% Y/Y primarily due to timing-related factors, with a meaningful portion of device demand pulled forward into 4Q25 following stronger activity in the prior quarter, suggesting recent weakness was largely driven by demand timing rather than underlying trends. April performance remained broadly in line with 1Q26 trends, reinforcing the view that recent softness was primarily linked to sales phasing and seasonality. The broader KSA telecom market continues shifting beyond traditional subscriber-led growth toward monetization of digital infrastructure, enterprise solutions and 5G ecosystems, with procurement structures and digital penetration increasingly influencing operator performance. Within this backdrop, ZAIN continues expanding its network footprint and adjacent digital ecosystem as part of a broader diversification strategy. Subscriber trends remained supportive, with the base reaching 8.3mn while 5G subscribers increased more than 33% Y/Y. Over 66% of total traffic is now carried through the 5G network compared with 56% in 1Q25, reflecting continued migration toward higher-quality traffic and supporting improved network utilization and a richer service mix over time. Enterprise pressure was primarily linked to migration from direct government contract renewals toward centralized procurement platforms, resulting in temporary service disconnections and execution delays. However, the group secured new government-related projects during the quarter, including contracts previously held by competitors, with awarded projects already progressing through implementation stages. Increasing adoption of the Etimad platform has also started improving payment discipline and processing efficiency, which could support receivable quality and cash collection efficiency over time. Beyond telecom services, adjacent businesses are becoming increasingly relevant within ZAIN's broader strategy. Tamam remains focused on portfolio optimization over near-term profitability, with tighter underwriting standards reducing NPL ratios to ~7% from above 10% previously. Return on sales is expected to gradually normalize toward historical levels of ~27% from the current ~14%, reflecting greater focus on portfolio quality and risk exposure. Looking ahead, operating trends could gradually improve as collections normalize, enterprise activity stabilizes and business mix increasingly shifts toward higher-margin segments. The ~62% gross margin achieved during 1Q26 could represent a new operating baseline, although sustainability remains dependent on business mix evolution. Capex intensity is also expected to remain elevated through FY26 due to ongoing spectrum deployment and network rollout requirements, supporting long-term infrastructure positioning; however, sustained investment requirements could continue weighing on near-term free cash flow and earnings visibility. From a valuation perspective, ZAIN trades at ~5.5x EV/EBITDA versus the industry median of ~5.8x and ~0.9x P/B versus the peer median of ~1.8x, while P/E remains at a premium to peers, reflecting improving profitability trends despite ongoing investment intensity. The mixed valuation profile suggests improving operating trends remain balanced against elevated investment intensity, execution requirements and moderate earnings visibility. **Maintain Hold.**

Rating and Risks

We are HOLD rated on ZAIN KSA and our 12-month price target is SAR 12. Upside risks include stronger than expected 5G monetization, faster recovery in enterprise and government activity, and lower than expected financing and network costs, etc. Downside risks include prolonged weakness in device demand, higher than expected CapEx requirements, delays in enterprise recovery, and deterioration in receivables and collection trends, etc.

SAR mln	1Q26	4Q25	1Q25	Q/Q %	Y/Y %
Revenues	2,656	2,888	2,690	-8%	-1%
Cost of Goods	997	1,165	1,105	-14%	-10%
Gross Profit	1,659	1,724	1,585	-4%	5%
Operating Expenses	1,399	1,308	1,311	7%	7%
Operating Profit	260	416	274	-37%	-5%
EBITDA	804	951	813	-16%	-1%
Net Income	201	231	93	-13%	116%
EPS	0.22	0.26	0.10	-13%	116%

Margins (%)

Gross Margin	62.5	59.7	58.9	279 bps	354 bps
Operating Margin	9.8	14.4	10.2	-460 bps	-40 bps
EBITDA Margin	30.3	32.9	30.2	-269 bps	01 bps
Net Margin	7.6	8.0	3.4	-44 bps	411 bps

Rating Summary and Forecasts

Rating Summary

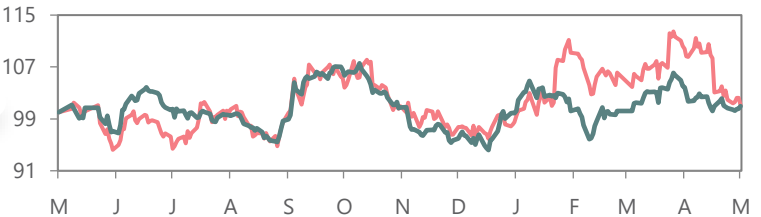
Rating	Hold
Market Price	10.9
12-month Target Price	12
Upside / Downside	12%
Mkt Cap (SAR mn)	9,760.2
52 week High/Low	13.36/10.02

Forecasts

	12/25 A	12/26 E	12/27 E	12/28 E
Net Income (SAR mn)	604	702	840	948
PER (x)	16.2	13.9	11.6	10.3
PBV (SAR)	0.9	0.9	0.9	0.8
EPS (SAR)	0.7	0.8	0.9	1.1
DPS (SAR)	0.5	0.5	0.5	0.7
RoE	5.6%	6.3%	7.3%	8.0%
Dividend Yield	4.6%	4.7%	5.0%	6.0%

Price Chart

● ZAIN ● ASI



Summary Financials

SAR mn	A Dec-24	A Dec-25	A Dec-26	A Dec-27	A Dec-28
	Actual	Actual	Forecast	Forecast	Forecast
Income Statement					
Total Revenue	10,365	10,983	11,560	12,234	13,134
Cost of goods sold	3,894	4,410	4,630	4,875	5,208
Gross Profit	6,471	6,574	6,930	7,359	7,926
Operating expenses	5,272	5,261	5,543	5,857	6,271
Operating profit	1,199	1,313	1,387	1,502	1,655
EBITDA	3,323	3,473	3,603	3,771	3,952
Net finance costs	703	665	610	555	583
Profit after tax	596	604	702	842	949
EPS	0.66	0.67	0.78	0.94	1.06
DPS	0.50	0.50	0.51	0.55	0.66
Balance Sheet					
Fixed Assets	4,977	4,770	4,596	4,436	4,277
Total Current Assets	7,313	8,142	10,383	10,694	12,489
Total Assets	28,135	28,753	30,229	29,803	30,831
Total Current Liabilities	12,700	6,366	7,065	6,675	7,479
Long term Loans	3,536	9,860	10,394	10,009	9,874
Net Debt	7,913	8,218	8,536	8,525	7,676
Total Non-Current Liabilities	4,729	11,512	12,046	11,660	11,525
Total Liabilities	4,729	11,512	12,046	11,660	11,525
Total Equity	17,429	17,877	19,110	18,336	19,004
Total Equity and Liabilities	28,135	28,753	30,229	29,803	30,831

SAR mn	A Dec-24	A Dec-25	A Dec-26	A Dec-27	A Dec-28
	Actual	Actual	Forecast	Forecast	Forecast
Cashflows					
Operating cashflows	2,044	1,776	3,480	2,509	3,624
Total Capex	(621)	(492)	(912)	(978)	(1,063)
Free cashflow to firm	1,052	782	2,490	1,472	2,494
Cashflow to equity holders	1,617	1,528	2,568	1,532	2,561
Cash flow from financing activities	(1,637)	(1,174)	(534)	(1,432)	(1,306)
Increase in cash and equivalents	(106)	112	1,496	(447)	669
Ratios					
Gross Margin	62.4%	59.9%	60.0%	60.2%	60.4%
Operating Margin	11.6%	12.0%	12.0%	12.3%	12.6%
EBITDA Margin	32.1%	31.6%	31.2%	30.8%	30.1%
Net Margin	5.8%	5.5%	6.1%	6.9%	7.2%
Capex/Sales	4.1%	2.3%	7.9%	8.0%	8.1%
Depreciation/sales	20.5%	19.7%	19.2%	18.6%	18.4%
Return on Equity	5.6%	5.6%	6.3%	7.3%	8.0%
Return on Asset	2.1%	2.1%	2.3%	2.8%	3.1%
Net debt/EBITDA	2.4	2.4	2.6	2.4	2.1

Rating Framework

Buy

Shares of the companies under coverage in this report are expected to outperform relative to the sector or the broader market.

Hold

Shares of the companies under coverage in this report are expected to perform in line with the sector or the broader market.

Sell

Shares of the companies under coverage in this report are expected to underperform relative to the sector or the broader market.

Saudi Fransi Capital

(Closed Joint Stock Company Owned by Banque Saudi Fransi)

Authorized and regulated under Capital Market Authority license 11153-37. The company is operating under commercial registration 1010231217 with a paid up capital of SAR 500,000,000.

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